TITLE 468 - AID TO DEPENDENT CHILDREN

CHAPTER 3 - CALCULATION OF AID TO DEPENDENT CHILDREN BENEFITS

001. CALCULATION OF AID TO DEPENDENT CHILDREN BENEFITS. Aid to Dependent Children budgeting measures the unit's income for maintenance against the appropriate need and payment standards. The standard of need and payment standard are based on the number of eligible individuals in the unit. The Department determines eligibility and payment amount as follows:

(A) Eligibility at initial application or when adding a financially responsible individual to an existing Aid to Dependent Children unit consists of the following budgeting steps:

(i) Calculate total gross earned income;

(ii) Subtract 20 percent of total gross earned income;

(iii) Subtract child care expense paid out of pocket;

(iv) The result after step iii is the net, or countable, earned income;

(v) Compare the net earned income to the appropriate standard of need for the unit size;

(vi) If the net earned income is less than the appropriate standard of need, proceed to #B to calculate payment amount. If the net earned income is greater than or equal to the standard of need, deny the application unless adding a financially responsible individual to an existing Aid to Dependent Children unit.

(B) Ongoing eligibility determination consists of the following budgeting steps:

(i) Calculate total gross earned income;

(ii) Subtract 50 percent of total gross earned income;

(iii) Subtract child care expense paid out of pocket;

(iv) The result of step iii is the net, or countable, earned income;

(v) Subtract the net earned income from the appropriate standard of need for the unit size;

(vi) Compare the result of step v to the appropriate payment standard for the unit size and show the lower amount.

002. CALCULATING EARNED INCOME. Aid to Dependent Children eligibility is determined prospectively using past verified income.

002.01 PAST 30 DAYS AS AN INDICATOR. Thirty days of income is used as an indicator to project income for future months unless changes have occurred or are anticipated.

002.01(A) PAST 30 DAYS NOT REPRESENTATIVE. When the past 30 days are not representative of future income, the income is based on the verified employer best estimate. This criteria would apply when the income is from a new source, the pay rate has increased or decreased, or the number of hours has increased or decreased.

002.01(B) USING MORE THAN 30 DAYS. If income fluctuates to the extent that the past 30 days does not provide a reasonable basis to anticipate future income, eligibility may be determined using up to three months of income for the most recent consecutive months, which captures the fluctuation, to project the household's monthly income.

002.02 PROJECTING EARNED INCOME. The unit's prospective eligibility is determined from the individual's anticipated income and circumstances using the individual's declaration and any available verification. When an individual reports beginning employment, verification is provided by the individual or obtained by the Department. Verification of earned income consists of the date the employment began, anticipated hours worked, rate of pay, pay periods, and when the first paycheck will be received.

002.02(A) PROJECTING INCOME FOR RECIPIENTS. If employment verification cannot be obtained from the recipient or the employer, one month's budget must be computed based on employment information provided by the recipient. If the first month's budget is based on the recipient's statement of income, verification of the employment must be obtained before the second month's budget can be computed. If verification is not received, the case will be closed.

002.02(A)(i) INCOME CALCULATION METHODS. An estimation of income based on information available is used when projecting income. Weekly and bi-weekly income are converted to a monthly figure. There is no conversion for semi-monthly or monthly income.

003. BUDGET CALCULATION WITH CHILD, SPOUSAL, AND CASH MEDICAL SUPPORT. Any child, spousal, and cash medical support, including arrears, (see Title 466) paid to the Nebraska Child Support Payment Center or paid directly to the applicant by the noncustodial parent before the approval date is considered in determining eligibility. The total amount of child, spousal, and cash medical support is considered.

003.01 COMPARISON TO AID TO DEPENDENT CHILDREN PAYMENT AMOUNT. If the average monthly child, spousal, or cash medical support collection exceeds the unit's Aid to Dependent Children payment amount, the Aid to Dependent Children case will be closed.

003.02 COUNTING AS UNEARNED INCOME. Child support, for months where the unit did not receive an Aid to Dependent Children grant, which is distributed to the custodial parent is counted as unearned income in the Aid to Dependent Children budget. A three-month average of the amount distributed is used to determine the amount of unearned income.

003.03 OVERPAYMENT DUE TO CHILD SUPPORT. If the applicant receives child or spousal support before the Aid to Dependent Children approval date but it has not been budgeted, there is an Aid to Dependent Children overpayment. If the recipient receives child or spousal support after the approval date, the support is not counted in the budget because it is assigned. Support received and retained by the recipient after the approval of Aid to Dependent Children constitutes a Child Support Enforcement overpayment.

004. PRORATED PAYMENT. When an application for Aid to Dependent Children is approved, the first month's payment begins with the application date. A standard 30-day month is used in determining prorated payment amounts.

004.01 INDIVIDUAL ADDED TO A UNIT. When an individual is added to a unit that is already receiving a grant, the payment of the new individual begins with the date the addition to the unit was requested if all eligibility factors are met.

004.02 INDIVIDUAL REMOVED FROM THE UNIT. When an individual leaves a unit, he or she is not considered prospectively in determining the unit size. If there is not time to recalculate and give timely notice, the individual is removed the next possible month.

004.03 INDIVIDUAL MOVING FROM ANOTHER STATE. An applicant may have received Temporary Assistance for Needy Families from another state in the same month he or she applies in Nebraska. If the applicant received a grant for a partial month from a state that divides monthly issuance into two or more grants, the grant from the other state is considered income in determining the first month's eligibility. Payment begins with the first day of the month of application if all eligibility factors are met.

005. ROUNDED DOWN PAYMENT. When a grant is not a whole dollar figure, it is rounded down to the next lower whole dollar amount. A case that would be eligible for a grant of less than $1 is still considered a grant case.

006. MINIMUM PAYMENT. An Aid to Dependent Children cash payment is not issued if the amount would be less than $10 before any adjustment is made. A unit that is denied an Aid to Dependent Children cash payment solely because of the $10 minimum payment is still considered a grant case. The unit is not subject to Employment First requirements and is non-time limited. The adult(s) or minor parent head-of-household included in the unit may choose to volunteer to participate in Employment First. An Aid to Dependent Children cash payment is issued if an individual is added to an existing unit and the combined unit is eligible for a payment of $10 or more.

007. INTENTIONAL PROGRAM VIOLATION (IPV). Effective January 1, 2004, an individual who is found to have committed an intentional program violation is disqualified.

007.01 DISQUALIFICATION HEARING. A disqualification hearing will be initiated by the Department whenever sufficient documentary evidence has been established to substantiate that a unit member has committed one or more acts of intentional program violation.

007.01(A) DETERMINING THE NEED FOR A DISQUALIFICATION HEARING. The following guidelines are used in determining the need for a disqualification hearing:

(i) A disqualification hearing must be initiated regardless of the current eligibility status of the individual;

(ii) The burden of proving intentional program violation is on the Department; and

(iii) A disqualification hearing will not be initiated against an accused individual whose case is currently being referred for prosecution or after any action taken against the accused individual by a court, if the factual issues of the case arise out of the same, or related, circumstances.

007.02 PENALTY. A period of disqualification is imposed when an individual is found to have committed an intentional program violation. The disqualification applies only to the individual found to have committed the intentional program violation. The period of disqualification may be determined by the Department Director after a hearing, or without a hearing if the individual waives his or her right to a hearing, or by a court. The period of disqualification is:

(A) For a first violation, up to one year;

(B) For a second violation, up to two years; and

(C) For a third violation, permanent disqualification.

008. PAYMENTS. Aid to Dependent Children payments are made from either federal or state funds.

008.01 FEDERAL TEMPORARY ASSISTANCE FOR NEEDY FAMILY PAYMENT RESTRICTIONS. Pursuant to Section 4004 of Public Law 112-96, 42 U.S.C. §608(a), it is a violation of federal law to access Temporary Assistance for Needy Families funds from an automated teller machine (ATM) located at or via a point-of-sale purchase at the following types of businesses:

(A) Liquor stores;

(B) Casinos, gambling casinos or gaming establishments; or

(C) Any retail establishment which provides adult-oriented entertainment in which performers disrobe or perform in an unclothed state for entertainment.

008.02 SUPPLEMENTAL PAYMENTS. Supplemental payments are issued in the following circumstances:

(A) Late payments authorized after the regular monthly issuance;

(B) Payments issued because of the addition of another individual to the unit; and

(C) Payments issued within the same payment month to make up for an underpayment.

008.03 RELATIVE-PAYEE. A unit which does not consist of a financially responsible individual may have a specified relative, guardian, or conservator with whom the child lives serve as a payee for the Aid to Dependent Children payment. The specified relative, guardian, or conservator must not be a person who has been declared incompetent through court action. If the specified relative has a legally appointed guardian or conservator, the guardian or conservator may be the payee.

008.04 PROTECTIVE PAYMENTS. A protective payee is assigned temporarily when the Department has documented that the assistance is being mismanaged and is not being used in the best interests of the child. The protective payee must be an interested third party who is concerned with the welfare of the child and family. The recipient must be given the opportunity to appeal the initial decision or continuance of protective payments and the choice of the protective payee.

008.05 ERRONEOUS PAYMENTS. The following regulations apply to incorrect payments identified after October 31, 1981. In cases which have both an underpayment and an overpayment, one may be offset against the other when corrected.

008.05(A) UNDERPAYMENTS. All underpayments must be corrected. In no case may one month’s corrected payment exceed the maximum payment which can be made for any one month. If the unit is already receiving the maximum payment, the underpayment may be corrected with a retroactive payment. Retroactive payments are not considered income or a resource in the month paid or in the following month. If underpayments have not been corrected when a case is closed, corrective payments must be made if the payee is eligible for assistance at a later date.

008.05(B) OVERPAYMENTS. All reasonable steps necessary must be taken to promptly correct all overpayments regardless of cause. There are two types of overpayments:

(1) Errors caused by the Department’s inaccurate computation or failure to take action;

(2) Errors caused because an applicant or recipient provides inaccurate or incomplete information or fails to provide information resulting in an overpayment.

008.05(B)(i) CORRECTING OVERPAYMENT DUE TO UNREPORTED EARNED INCOME. In situations where an overpayment is identified due to unreported earned income, earned income disregards are not allowed in the recomputed Aid to Dependent Children budget. Disregards are allowed beginning with the month following the month of discovery or report.

008.05(B)(ii) OVERPAYMENT RECOVERY. All overpayments, regardless of cause, must be recouped if there is an active Aid to Dependent Children grant case or a recovery must be attempted from a closed grant case, if the outstanding overpayment amount is $35 or more. After an overpayment has been computed, a demand letter is sent to the unit explaining the option of reimbursing all or part of the overpayment or having future assistance reduced. If part of the overpayment is reimbursed, the remainder must be recouped by grant reduction. The unit is provided 10 days to respond to the demand letter. If the unit does not respond within 10 days or if the unit chooses to reimburse but fails to do so, future assistance is reduced the first month possible.

008.05(B)(ii)(1) RECOUPMENT CALCULATION. The following calculations are used to determine the amount of the allowable grant reduction for one month:

(a) An overpayment determined to be due to Department, applicant or recipient error, results in the Aid to Dependent Children grant being reduced by 10 percent of the unit's payment amount;

(b) An overpayment determined to be due to an intentional program violation or due to fraud as determined by a court of law results in the Aid to Dependent Children grant being reduced by 20 percent of the unit's payment amount.

008.05(B)(iii) TREATMENT OF CHILD OR SPOUSAL SUPPORT IN DETERMINING OVERPAYMENTS. When an individual receives a grant for which he or she is ineligible, the collected child or spousal support for the month(s) of overpayment will be used to offset the grant overpayment.

008.05(B)(iv) RETROACTIVE SUPPLEMENTAL SECURITY INCOME PAYMENT. The first month of ineligibility for Aid to Dependent Children for an individual with continuing Supplemental Security Income entitlement is the month he or she receives a Supplemental Security Income retroactive payment unless that payment has been reduced by the amount of Aid to Dependent Children paid for that month. Since ineligibility for Aid to Dependent Children does not begin before receipt of a Supplemental Security Income payment, Aid to Dependent Children payments issued before the receipt of Supplemental Security Income payments do not constitute overpayments.

008.05(B)(v) ZERO GRANT. If the Aid to Dependent Children grant is reduced to zero, it is still considered to be a grant case. In cases where child support is assigned, the payment must not be reduced below $10 to prevent termination of the assignment.